

Citadel Securities, one of the world's leading HFT firms, executes approximately 35% of all U.S. listed retail volume. While their proprietary trading systems use multiple languages, Python is widely used for research and analysis within the firm.

Here's a simple conceptual example of what a high-frequency trading decision might look like in Python:

```
1. # Simple concept example of a high-frequency trading decision
2. bid_price = 100.01 # Current highest buying price
3. ask_price = 100.03 # Current lowest selling price
4.
5. # The spread is the difference between ask and bid
6. spread = ask_price - bid_price
7.
8. # If the spread is wide enough, we might profit by buying and selling quickly
9. if spread > 0.02:
10.     print("Execute trade: Buy at bid, sell at ask")
11. else:
12.     print("Spread too narrow, don't trade")
```

## Statistical Arbitrage

Statistical arbitrage strategies identify temporary price disparities between related securities and execute trades to profit from their eventual convergence. Python's data analysis capabilities make it ideal for identifying these opportunities.

A classic example is pairs trading, where two historically correlated stocks temporarily diverge in price. When AXP (American Express) and COF (Capital One Financial) diverged significantly during market turmoil in March 2020, algorithmic traders using cointegration analysis could identify this temporary anomaly and profit from their eventual reconvergence.

Here's a simplified example showing how Python can compare two related stocks:

```
1. # Simple example of comparing two related stocks
2. apple_price = 180 # Price of Apple stock
3. microsoft_price = 350 # Price of Microsoft stock
```